

complaint

Mr M is unhappy that Covea Insurance plc wants to charge him an additional excess for escape of water in respect of his claim under his home insurance following water coming in from his neighbour's property.

background

In November 2017 Mr M made a claim to Covea following his neighbour having an escape of water that had come into his property under the floorboards and caused damage. Covea sent out loss adjusters who reported that the damage would be covered under the "escape of water" peril in the policy. Mr M was initially asked to pay a £250 excess, then he was told it had been wrongly calculated and in fact he had to pay a £500 excess. The additional excess being due as it was an escape of water claim. Mr M disputed that it was an escape of water – he said it was an *ingress* of water from next door. Covea said it would pay £50 for the mistake in calculation, but continued to ask for the full £500 excess.

On referral to this service our investigator said the damage could be covered as an escape of water, alternatively it could proceed as a flood claim which would only attract a £250 excess.

Covea disagreed that it could proceed as a flood claim. The matter has been passed to me for consideration.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

First of all the claim can clearly be brought under the escape of water peril in the policy. This covers:

"Loss or damage caused by escape of water from or frost damage to:[eg]

- 1. A fixed water installation.*
- 2. A fixed drainage installation*

The water doesn't have to come from inside the property. Although Mr M talks of an *"ingress of water"* there's no cover for that under the policy.

Alternatively there's the possibility of a flood claim. Covea says it isn't flood and that the claim must proceed under escape of water. Our investigator has explained that where there are two alternative sections in a policy under which a claim can be made it is fair that the one that is most beneficial to the consumer should be proceeded with. I agree with that.

In this case I don't think, for reasons we've explained to Mr M, that it would benefit him to have the claim covered under the *"flood"* peril. So I won't make a determination as to whether there was a flood.

In this case that means that Mr M will have to pay the full excess. I understand that he's upset about this as the cause of the damage isn't anything to do with him or his property. But Covea is entitled to charge the additional excess for escape of water claims under the terms and conditions of the policy.

I think the payment of £50 for giving him the wrong information about the excess in the first place is reasonable.

my final decision

I don't uphold the complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 26 April 2018.

Ray Lawley
ombudsman